# Proposal for a six week material savings pilot

I propose a small pilot to find out how much steel we can save through better nesting and reuse of available offcuts. We would start with one plate-cutting line and two projects, with a fixed pilot fee of **US$35,000**.

You already have automatic nesting in Strumis, and your team believes manual layouts waste less steel. We will test that fairly before proposing new software. Offcuts are already recorded and checked; we will measure where that process falls short. Each project's material stays separate unless Finance approves sharing. We will also distinguish cutting waste from client revisions and internal engineering errors.

**What you will see.** This note supports your management update this week. By week two of the pilot, we will show a checked baseline and a manual-versus-automatic comparison. By week six, we aim to complete 20 batch comparisons and at least five approved production batches. Success means at least 3% lower material cost per tonne of accepted parts, without adding planning and handling time or delaying jobs. Missing data, project holds or too few trial jobs may extend the schedule.

**What we need from you.** Please nominate a production owner and bring together the nesting planner, yard lead, engineering/quality representative and Cost Control. We need recent job and stock records, released drawings or part files, access to the existing nesting software, and permission to verify candidate offcuts in the yard. Budget roughly 10 staff-hours a week across these teams. We also need the person who can approve the spend.

**Cost and decision points.** The fee is payable as $10,500 at kickoff, $14,000 after the week-two review and approval to continue, and $10,500 when we deliver the trial report. If the baseline is unreliable or there is no practical opportunity, we stop at week two with only $10,500 payable. Travel, tax and any new third-party software licence are excluded and would need a separate quote. Optional support after a successful pilot is $1,000 a month for the same limited scope; wider rollout is priced separately.

**Potential value.** As an illustration, avoiding 200 tonnes of purchases a year at $900 per tonne, after allowing for $300 per tonne of lost scrap proceeds, saves $120,000. After $10,000 of extra handling/cutting and $12,000 of support, that leaves $98,000 a year before the one-time pilot fee. These are assumptions, not promised savings. We will replace them with your prices and measured results.

We will deliver the trial and any agreed changes with your teams. Trailer utilisation remains a separate next option using the CarTrack and booking data you already have. The decision to expand follows measured savings, not an AI promise.